Uniform Residential Appraisal Report

700 1ST AVE, NW UNIT 1206, WASHINGTON, DC 20001

SUMMARY

Opinion of Market Value	$548,999
Effective Date of Appraisal	08/28/2019
Assignment Reason	Purchase
Borrower Name	John Jones Mary Jones
Current Owner of Public Record	Harry Smith Bill Smith
Contract Price	$585,000
Listing Status	Pending

Market Value Condition	As Is
Property Valuation Method	Traditional Appraisal
Appraiser Name	Annie Appraiser

Property Description

Attachment Type	Attached
Structure Design	High-rise

	Yes	No
Planned Unit Development (PUD)	☐	☑
Condominium	☐	☑
Cooperative	☑	☐
Condop	☐	☑
Observed Project Deficiencies	☐	☑
Subject Site Owned in Common	☑	☐

Units Excluding ADUs	1
Accessory Dwelling Units	0

	Yes	No
Is the highest and best use of the subject property as improved (or as proposed per plans and specifications) the present use?	☑	☐

Property Restriction	Historic Preservation
Zoning Compliance	Legal

Overall Quality	Q3
Overall Condition	C3

This is where the Subject Property photo would display.

Apparent Defects, Damages, Deficiencies Requiring Action

None

Assignment Information

Assignment Reason	Purchase
Borrower Name	John Jones
	Mary Jones
Seller Name	Harry Smith
	Bill Smith
Current Owner of Public Record	Harry Smith
	Bill Smith

Property Valuation Method	Traditional Appraisal

	Yes	No
Was a Property Data Report used in lieu of an Inspection?	☐	☑

Appraiser Fee	$0

Contact Information

Client/Lender

Company Name	Your Bank
Company Address	258 Boat St
	Nowhere, MD 21211

Appraiser

Name	Annie Appraiser
Company Name	XYZ Appraisers
Company Address	238 Sand St, SW
	Washington, DC 20210

Scope of Inspection by Appraiser

Subject Property Inspection	
Exterior	Physical
Interior	Physical

Credentials

Level	Certified General
ID	294210393
State	DC
Expires	02/28/2020

Assignment Information and Scope of Work Commentary

Additional commentary can be added here, if needed by Appraiser.

Subject Property

Physical Address	700 1st Ave, NW Unit 1206
	Washington, DC 20001
County	District of Columbia
Neighborhood Name	Three Tree Hill

	Yes	No
Planned Unit Development (PUD)	☐	☑
Condominium	☐	☑
Cooperative	☑	☐
Condop	☐	☑
Property on Native American Lands	☐	☑
Subject Site Owned in Common	☑	☐
Homeowner Responsible for all Exterior Maintenance of Dwelling(s)	☐	☑
New Construction	☐	☑

Attachment Type	Attached
Units Excluding ADUs	1
Accessory Dwelling Units	0
Special Tax Assessments	No

Legal Description

Lot: 1206. Block: 00012

Subject Property Commentary

Additional commentary can be added here, if needed by Appraiser.

Site

Zoning

Compliance	Legal
Classification Code	MU-2
Classification Code Description	Residential - Cooperative - Vertical

Property Access

Primary Access	Public Street
Street Type and Surface	Collector Street | Asphalt
Typical for Market	Yes

Site *(continued)*

Site Influence

Influence	Proximity	Detail	Impact	Comment
				The Potomac River is approximately 1 mile from the subject's location.
	Offsite | 1 Miles	Hazardous Substances	Neutral	Rainwater runoff can carry pesticides, plastics, wastewater, and agricultural runoff that is released into the Potomac.

Site Influence Commentary The site is located approximately one mile from the Potomac River. This location provides beneficial water views for units located above the third floor, on the side of the buildings facing the river. Units on the opposite side of the building do not have water views. In regards to the environmental condition, pollutants have been identified and can contain Endocrine Disruptors (EDCs) that are not completely removed in treatment plants. During periods shortly after heavy rainstorms, the residents in the area are advised not to swim in the Potomac River due to these hazards. Even so, there is no measurable adverse impact on marketability or values concerning the subject. The demand for housing in the subject's market has remained consistent over the years.

Water Frontage with Private Access

Frontage	Name	Waterfront Access Rights	Access Depth
River			

View and Impact to Value/Marketability

View	Range of View	Impact
City Street	Partial	Neutral
(Primary) Parking Lot	Full	Neutral

View Commentary Additional commentary can be added here, if needed by Appraiser.

Site Features and Impact to Value/Marketability

Feature	Detail	Impact	Comment
Hazard Zone	No Hazard Zone Noted		
Property Restriction	Historic Preservation	Beneficial	The subject holds a Historic Designation in the National Register of Historic Places; has a positive impact on its value and marketability.
Site Characteristic	None		

Site Features Commentary Additional commentary can be added here, if needed by Appraiser.

Utilities and Impact to Value/Marketability

Broadband Internet Available Yes

	Public	Private	Detail	Private Utility Impact	Comment
Electricity	✓				
Gas	✓				
Sanitary Sewer	✓				
Water	✓				

Apparent Defects, Damages, Deficiencies (Site)

None

Site Commentary

Additional commentary can be added here, if needed by Appraiser.

Site *(continued)*

Site Exhibits

Property Access (Street Scene)	**View** - Parking Lot
This is where the Property Access photo would display.	*This is where the View photo would display.*

Energy Efficient and Green Features

Known Renewable Energy Components	None
Known Building Certifications	None
Known Efficiency Ratings	None

Sketch

Measurement Standard	Not Applicable due to property type

Sketch

Parking Lot

Inground Pool

Theater

Sketch *(continued)*

Sketch

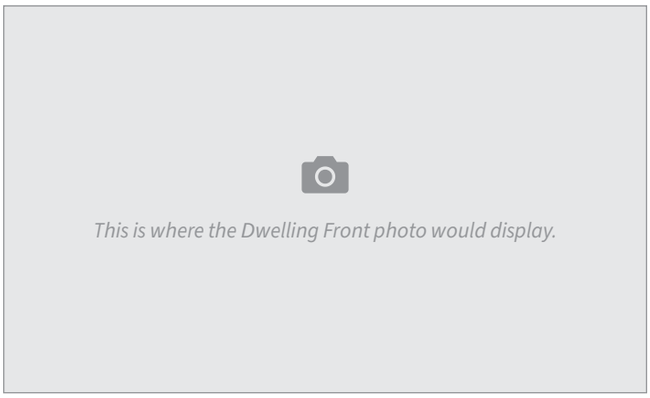


Sketch Commentary

Additional commentary can be added here, if needed by Appraiser.

Dwelling Exterior

Subject Property Units in Structure	1
Structure Design	High-rise
Floors in Building	15
Front Door Elevation	10 or more feet
Year Built	1971
Converted Area	None



Mechanical System Details

	System	Detail
Heating	Forced Warm Air	Natural Gas
Cooling	Centralized	

	Yes	No
Core Heating System Below Grade	☑	☐

Other Mechanical Systems Fire Suppression

Apparent Defects, Damages, Deficiencies (Dwelling Exterior)

None

Dwelling Exterior Commentary

Additional commentary can be added here, if needed by Appraiser.

Dwelling Exterior Exhibits

Dwelling Rear



Unit Interior

Area Breakdown	
Finished Above Grade	1,209 Sq. Ft.
Unfinished Above Grade	0 Sq. Ft.
Finished Below Grade	0 Sq. Ft.
Unfinished Below Grade	0 Sq. Ft.
Area Data Source	MLS
	Assessor Record
	Property Management Company

Levels in Unit	1
Floor Number	12
Corner Unit	No
Occupancy	Owner
Total Bedrooms	1
Total Bathrooms - Full	1
Total Bathrooms - Half	0
Non-Residential Use in Unit	No
Live/Work Space	No

Unit Interior *(continued)*

Level and Room Detail

Level in Unit	Grade Level Detail	Finish	Area	Room Summary
Level 1	Above Grade	Finished	1,209 Sq. Ft.	1 - Bath - Full 1 - Bedroom 1 - Dining Room 1 - Kitchen 1 - Living Room

Quality and Condition

Interior Quality Rating Q3 **Interior Condition Rating** C3

The tables below support the Interior Quality and Condition ratings and reflect the market value condition of this report

Kitchen and Bathroom Details

Room	Update Status	Time Frame	Quality Comment	Condition Status	Condition Comment
Kitchen Level 1	Fully Updated	1-5 years	A mix of restaurant grade and high-end residential appliances	Typical Wear and Tear	Kitchen has been updated with new fixtures, flooring, and lighting.
Bath - Full Level 1	Fully Updated	1-5 years	High-end residential fixtures and nice decorative finishes	Typical Wear and Tear	Bathroom has a new jacuzzi jetted tub and vanities, flooring, shower with subway tile, and upgraded shower head.

Overall Update Status for Bathrooms Fully Updated

Interior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Flooring	Carpet	Blended wool carpet, pad	Typical Wear and Tear	The flooring throughout the subject has been replaced over the last 2-5 years.
	Hardwood	Refinished hardwood flooring	Typical Wear and Tear	Refinished approximately 5 years ago.
Walls and Ceiling	8 Ft. | Flat	Add comment if needed.	Typical Wear and Tear	Add comment if needed.

Overall Update Status for Flooring Fully Updated

Apparent Defects, Damages, Deficiencies (Unit Interior)

None

Unit Interior Commentary

Additional commentary can be added here, if needed by Appraiser.

Unit Interior Exhibits

Level 1 - Bedroom

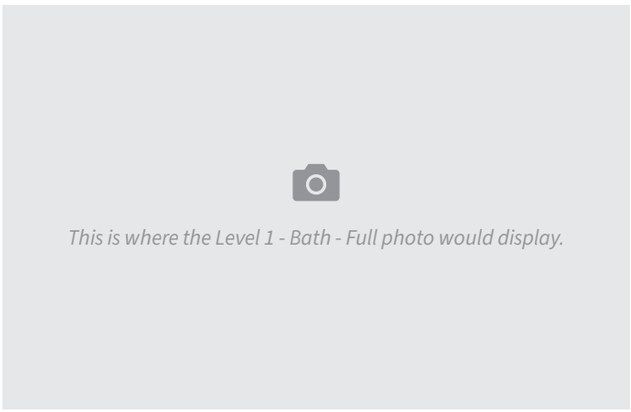
This is where the Level 1 - Bedroom photo would display.

Level 1 - Dining Room

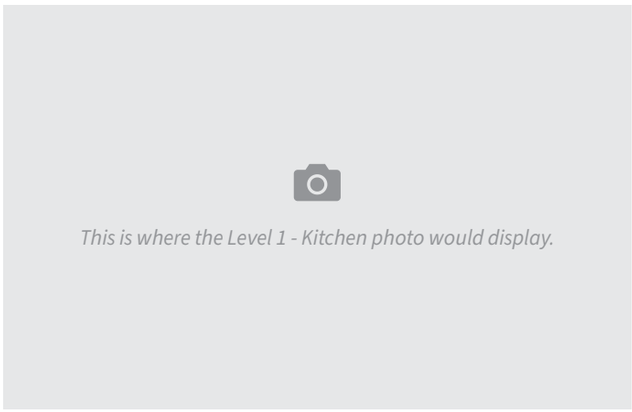
This is where the Level 1 - Dining Room photo would display.

Unit Interior *(continued)*

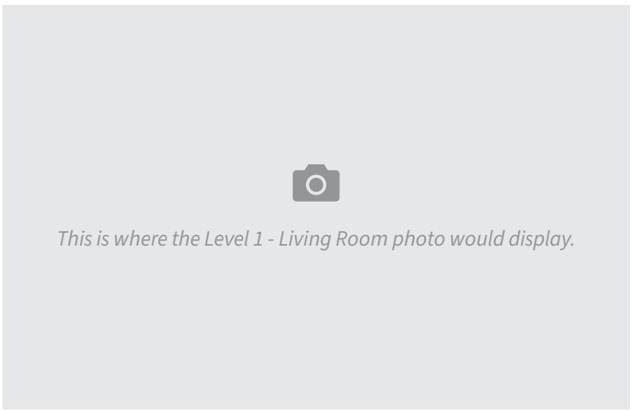
Level 1 - Bath - Full



Level 1 - Kitchen



Level 1 - Living Room



Functional Obsolescence

Functional Issues None

Vehicle Storage

Parking Garage

Storage	Number of Parking Spaces	Detail
Parking Garage	1 Owned	

Apparent Defects, Damages, Deficiencies (Vehicle Storage)

None

Vehicle Storage Commentary

Additional commentary can be added here, if needed by Appraiser.

Subject Property Amenities

Amenity Category	Subject Property Amenity	Material	Detail
Outdoor Living	Balcony	Concrete	120 Sq. Ft.

Apparent Defects, Damages, Deficiencies (Subject Property Amenities)

None

Subject Property Amenities Commentary

Additional commentary can be added here, if needed by Appraiser.

Subject Property Amenities *(continued)*

Subject Property Amenities Exhibits

Balcony



This is where the Balcony photo would display.

Overall Quality and Condition

Overall Quality	Q3	**Overall Condition**	C3
Interior Quality	Q3	Interior Condition	C3

Reconciliation of Overall Quality and Condition

The subject unit has received recent, extensive updating throughout, which translates to Q3 and C3.

Highest and Best Use

Legally Permissible	Yes	**Financially Feasible**	Yes
Physically Possible	Yes	**Maximally Productive**	Yes

Yes

Highest and Best Use Commentary

Additional commentary can be added here, if needed by Appraiser.

Market

Market Area Boundary Hall Street NW to the North; Bunker Hill Drive NW to the South; Potomac River to the West; Grant St. NW to the East

Search Criteria Description The search criteria that the appraiser used to limit their search included a structure design focused on High Rises and an Ownership structure of Cooperative. Additional limiting factors included between 1 and 2 Full Bathrooms, 1-2 Bedrooms, a Finished Area Above Grade between 1000 and 1400 Sq. Ft., 1-2 Parking Spaces. Additionally, the building would ideally be constructed between 1960 and 1975, with a closing date between 08/28/2018 and 08/28/2019.

Search Result Metrics

Active Listings	5	**Sales in Past**	12
Median Days on Market	30	Months	15
Lowest List Price	$460,000	Lowest Sale Price	$360,000
Median List Price	$580,000	Median Sale Price	$448,500
Highest List Price	$675,000	Highest Sale Price	$699,000
Pending Sales	0	**Distressed Market Competition**	No
		Graph	Price Trend
		Price Trend Source	Big Data Price Trends, Inc.

Price Trend Analysis Commentary A price trend analysis of the MLS data for the past year for 1-2 bedroom co-ops in this market area is stable with no discernible movement in prices, exhibiting economic equilibrium.

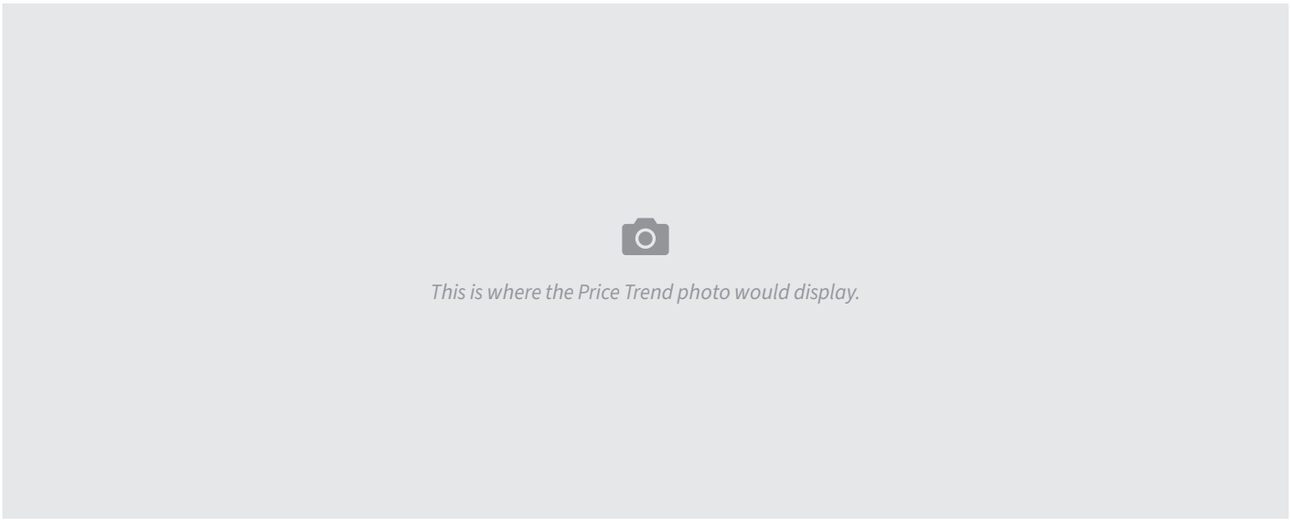
Housing Trends

Demand/Supply	In Balance	**Marketing Time**	Under 3 months

Market *(continued)*

Market Exhibits

Price Trend



Project Information

Planned Unit Development (PUD)	☐ ☑

Project Name	XYZ Apartments
Project Information Data Source	Property Management Company
Total Units	126
Units Sold	120
Units for Sale	1
Units Rented	5
Mandatory Fees (HOA, PUD, or Co-op)	
Monthly Amount	$2,631
Common Amenities/ Services Included	Inground Pool
	Theater
Utilities Included	Electricity

	Yes	No
Observed Deficiencies	☐	☑

Condominium	☐ ☑
Cooperative	☑ ☐
Condop	☐ ☑

Project Completeness

	Yes	No
Are units, common areas, and amenities in project complete?	☐	☑
Subject Property Building Complete	☑	☐
Converted in Past 3 Years	☑	☐
Ground Rent	☑	☐

Annual Amount	$45,000
Expires	12/2039

Description of Ground Rent The ground rent has been stable over the last five years. The ground rent is controlled through the City of Washington, D.C.

Cooperative Information

Shares Issued and Outstanding	97,222
Shares Attributable to Subject Property	374
Proprietary Lease Expires	11/2060

Project Blanket Financing

Pro Rata Share	0.3847%

Lien Detail	First Lien	Second Lien	Third Lien	Fourth Lien
Unpaid Principal Balance	$10,957,629.00	$10,957,629.00	$10,957,629.00	$10,957,629.00
Line of Credit	$600,000.00 $1,000,000.00	$600,000.00 $1,000,000.00	$600,000.00 $1,000,000.00	$600,000.00 $1,000,000.00
Balloon Mortgage	No	No	No	No
Remaining Term	21	21	21	21
Monthly Payment	$63,739.00	$63,739.00	$63,739.00	$63,739.00
Interest Rate	4.060%	4.060%	4.060%	4.060%
Amortization Type	Fixed	Fixed	Fixed	Fixed
Pro Rata Share of Balance Attributable to Unit	$2,308.20 $3,847.00 | $42,154.00	$2,308.20 $3,847.00 | $42,154.00	$2,308.20 $3,847.00 | $42,154.00	$2,308.20 $3,847.00 | $42,154.00

First Lien

First Lien

Project Information *(continued)*

First Lien

First Lien

Project Factors and Impact to Value/Marketability

Project Factor	Detail	Impact	Comment
Developer/Sponsor in Control	No		
Incomplete Project	Landscaping	Neutral	Shareholders of the Project have agreed to participate in the Urban Tree Foundation's campaign to plant 60 trees throughout the project's common areas; to date only 12 have been installed.
Converted in Past 3 Years	Apartment	Neutral	Add comment if needed.
Single Entity Ownership of Multiple Shares	425	Neutral	Add comment if needed.
Commercial Space	1%	Neutral	There is a small dry cleaner located on project premises.
Known Legal Actions	None		
Unit Transfer Fees	$2,631	Neutral	There is a private transfer fee that is paid at settlement. There is no impact to marketability, the transfer fee is a typical fee paid in this market for cooperative transfers.
Unit Special Assessments	None		
Unit Tax Abatements or Exemptions	$7,500 09/2021	Neutral	Shareholders are participating in an energy efficiency incentive program which will cut energy costs by 30% over the next two years. The impact on value and marketability is beneficial.

Additional commentary can be added here, if needed by Appraiser.

Project Information Commentary

The original use for the subject's project was apartment rental units, up until the cooperative conversion. Additionally, the project offers office space for use on the property. This office space is located within the project and has no impact to value/marketability.

Project Information Exhibits

Common Amenity or Service - Inground Pool

This is where the Common Amenity or Service photo would display.

Common Amenity or Service - Theater

This is where the Common Amenity or Service photo would display.

Subject Listing Information

Listing Status	Listing Type	Listing ID	Start Date	End Date	DOM	Starting List Price	Current or Final List Price
Pending	MLS	DC-687541	07/23/2019	08/22/2019	31	$585,000.00	$585,000.00
						Total DOM	31

The subject property was marketed on the local Multiple Listing Service for a total of 31 days before accepting a contract offer; this time frame meets current market norms. No other recent listings of the subject were discovered during my research.

Sales Contract

	Yes	No
Is there a sales contract?	☑	☐
Was sales contract information analyzed?	☑	☐

Non-Arm's Length Commentary Yes

Personal property is not included in the appraiser's final opinion of value

Contract Price	$585,000
Contract Date	08/23/2019
Transfer Terms	Typically Motivated
Personal Property Conveyed	No

Sales Contract *(continued)*

Financial Sales Concessions

Financial assistance paid by or on behalf of the seller as an inducement to purchase the subject property

Known Sales Concessions	No

Sales Contract Analysis

The contract was accepted 8/23/2019; the buyer has deposited a check in the amount of $10,000.

Prior Sale and Transfer History

Subject Transfer History

Prior sales and/or transfers of the subject property (minimum 3 year look back)

Prior Sales or Transfers	None
Data Source	MLS

Analysis of Prior Sale and Transfer History of Subject Property A search of local MLS reveal no recent listings or transfers of the subject property.

Comparable Transfer History

Prior sales and/or transfers of the comparable properties from the 'Sales Comparison Approach' section (minimum 1 year look back)

#	Transfer Terms	Date	Amount	Data Source
1	Typically Motivated	10/28/2018	$545,000	MLS
2	None			MLS
3	None			MLS

Analysis of Prior Sale and Transfer History of Comparable Sales Comp #1's prior transfer indicates an increasing market (to its most recent sale price) as documented in the Market section of this report.

Sales Comparison Approach

Sales Comparison Approach *(continued)*

	Subject Property	Comparable #1		Comparable #2		Comparable #3	
General Information							
Property Address	700 1st Ave, NW Unit 1206 Washington, DC 20001 *This is where the Subject Property photo would display.*	700 1st Ave, NW Unit 1211 Washington, DC 20001 *This is where the Comparable 1 photo would display.*		700 1st Ave, NW Unit 1103 Washington, DC 20001 *This is where the Comparable 2 photo would display.*		1350 Riverside Ave, NW Unit 1627 Washington, DC 20001 *This is where the Comparable 3 photo would display.*	
Data Source		Assessor Record | MLS 23412-D		Assessor Record | MLS 32481-D		Assessor Record | MLS 12438-D	
Proximity to Subject		0.0 Miles		0.0 Miles		0.13 Miles NW	
List Price	$585,000	$600,000		$615,000		$570,000	
Listing Status	Pending	Settled Sale		Settled Sale		Settled Sale	
Contract Price	$585,000	—		—		—	
Sale Price		$600,000		$621,000		$570,000	
Transfer Terms		Typically Motivated		Typically Motivated		Typically Motivated	
Sales Concessions	No	$6,000	$0	$5,000	$0	No	
Contract Date	08/23/2019	08/07/2019	$0	07/20/2019	$0	06/28/2019	$0
Sale Date		08/12/2019	$0		$0		$0
Days on Market	31		10		25		40
Attached/Detached	Attached	Attached		Attached		Attached	
Project Information							
Project Name | Same Project as Subject	XYZ Apartments	XYZ Apartments | Yes		XYZ Apartments | Yes		MNO Apartments | No	
Monthly Fee	$2,631	$2,631		$2,631		$2,096	
Common Amenities/Services	Inground Pool | Theater	Theater		Theater		Clubhouse	
Site							
Site Owned in Common	Yes	Yes		Yes		Yes	
Property Restriction	Historic Preservation	Historic Preservation		Historic Preservation		—	$10,000
Site Influence (Location)	River	Residential		Residential		Residential	
View | Range	City Street | Partial Parking Lot | Full	Residential | Full City Street | Full	$0	Residential | Full City Street | Full	$0	Residential | Full Park | Full	$(10,000)
Dwelling(s)							
Year Built	1971	1971		1971		1965	$0
Structure Design	High-rise	High-rise		High-rise		High-rise	
Heating	Forced Warm Air | Natural Gas	Forced Warm Air		Forced Warm Air		Forced Warm Air	
Unit(s)							
Floor Number	12	12		11	$0	16	$0
Bedrooms	1	1		1		1	
Baths – Full | Half	1 | 0	1 | 1	$(5,000)	1 | 1	$(5,000)	1 | 1	$(5,000)
Finished Area Above Grade	1,209 Sq. Ft.	1,209 Sq. Ft.		1,360 Sq. Ft.	$(30,200)	1,070 Sq. Ft.	$27,800
Finished Area Below Grade	0 Sq. Ft.	0 Sq. Ft.		0 Sq. Ft.		0 Sq. Ft.	
Unfinished Area Below Grade	0 Sq. Ft.	0 Sq. Ft.		0 Sq. Ft.		0 Sq. Ft.	
Interior Quality and Condition							
Quality	Q3	Q3		Q3		Q3	
Condition	C3	C3		C3		C3	
Overall Quality and Condition (Ratings: 1-6, 1 is highest)							
Quality	Q3	Q3		Q3		Q3	
Condition	C3	C3		C3		C3	
Vehicle Storage							
Type| Spaces | Detail	Parking Garage | 1 | Owned	Parking Garage | 1 | Owned		Parking Garage | 1 | Owned		Parking Garage | 1 | Owned	
Summary							
List Price	$585,000 Pending	$600,000		$615,000		$570,000	
Contract Price	$585,000	—		—		—	
Sale Price		$600,000		$621,000		$570,000	
Net Adjustment Total		$(5,000)		$(35,200)		$22,800	
Price Per Finished Area Above Grade		$496		$457		$533	
Adjusted Price		$595,000		$585,800		$592,800	
Comparable Weight		Most		Less		Less	

Sales Comparison Approach *(continued)*

Additional Properties Analyzed Not Used

#	Property Address	Sale Date	Status	Reason Not Used	Comment
1	2700 Bar Harbor Ave, NW Unit 1009 Washington, DC 20001	07/24/2019	Settled Sale	Finished Area	The unit is much smaller than the subject.
2	700 New Haven Ave, NW Unit 308 Washington, DC 20001	07/31/2019	Settled Sale	Dated Sale	More recently sold comparable properties were available.
3	700 New Haven Ave, NW Unit 920 Washington, DC 20001	08/02/2019	Settled Sale	Bathroom Count Bedroom Count Finished Area	This unit has more bathrooms and bedrooms than the subject; it's also a larger unit.
4	702 New Haven Ave, NW Unit 514 Washington, DC 20001	07/14/2019	Settled Sale	Bathroom Count Bedroom Count Finished Area	This unit has more bathrooms and bedrooms than the subject; it's also a larger unit.
5	2700 President Ave, NW Unit 1234 Washington, DC 20001	08/10/2019	Settled Sale	Finished Area Water View	This unit has a water view of the river and is larger in size when compared to the subject.

Sales Comparison Map

This is where the exhibit photo would display.

Reconciliation

Approaches to Value

	Sales Comparison Approach	Income Approach	Cost Approach
Indicated Value	$595,000		
Reason for Exclusion		Not Necessary for Credible Results	Not Necessary for Credible Results

Appraisal Summary

Contract Price	$585,000	**Reasonable Exposure Time**	30-60 days
Opinion of Market Value	$548,999	**Effective Date of Appraisal**	08/28/2019
Pro Rata Share Calculation Method	Maximum		
Market Value Condition	As Is		

Reconciliation of Market Value

Utilize this subsection for additional commentary as required by USPAP.

Apparent Defects, Damages, Deficiencies

None

This appraisal report is subject to the following scope of work, intended use, intended user, definition of market value, statement of assumptions and limiting conditions, and certifications. Modifications, additions, or deletions to the definition of market value or assumptions and limiting conditions are not permitted. The appraiser may expand the scope of work to include any additional research or analysis necessary based on the complexity of this appraisal assignment. Modifications or deletions to Intended Use, Intended User, and the certifications are also not permitted. However, additional Intended Use, Intended User, and certifications that do not constitute material alterations to this appraisal report, such as those required by law or those related to the appraiser's continuing education or membership in an appraisal organization, are permitted.

Scope of Work

The scope of work for this assignment is based on the applicable assignment elements, including: the client and any other intended users, the intended use, the definition of market value that follows, the effective date, the subject property and its relevant characteristics, and the applicable assignment conditions. The appraiser must, at a minimum: (1) obtain and review adequate and reliable information for the subject property; (2) research, verify, and analyze adequate and reliable data for the subject market area including data for each comparable property reported; and (3) report his or her analyses, opinions, and conclusions in this appraisal report.

Intended Use

The intended use of the opinions and conclusions contained in this appraisal report is for the intended user to evaluate the property that is the subject of this appraisal for a mortgage finance transaction or related activities.

Intended User

The intended user of this report is the lender/client.

Definition of Market Value

The most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale with the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby: (1) buyer and seller are typically motivated; (2) both parties are well informed or well advised, and each acting in what he or she considers his or her own best interest; (3) a reasonable time is allowed for exposure in the open market; (4) payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and (5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions* granted by anyone associated with the sale.

*Adjustments to the comparables must be made for special or creative financing or sales concessions. No adjustments are necessary for costs that are normally paid by sellers as a result of tradition or law in a market area; these costs are readily identifiable because the seller pays these costs in virtually all sales transactions. Special or creative financing adjustments can be made to the comparable property by comparisons to financing terms offered by a third-party institutional lender that is not already involved in the property or transaction. Any adjustment should not be calculated on a mechanical dollar-for-dollar cost of the financing or concession, but the dollar amount of any adjustment should approximate the market's reaction to the financing or concessions based on the appraiser's judgment.

Statement of Assumptions and Limiting Conditions

The appraiser assumes that the title is good and marketable unless he or she becomes aware of information to the contrary.

If the appraiser has included a sketch or floor plan in this appraisal report, it shows the approximate dimensions and is included only to assist the reader in visualizing the property and understanding the appraiser's determination of its size.

Reconciliation *(continued)*

The appraiser has relied on data provided by third parties in this appraisal report. Such data may include, but is not limited to, floor plans, flood maps, multiple listing real estate services, tax assessment records, public land records, satellite imagery, virtual street views, property data services, surveys, engineering reports, and property data aggregations. After examination of the data and data sources, the appraiser has used only the data he or she considers reliable. The appraiser assumes there are no material omissions in the data relied upon and makes no guarantees, express or implied, regarding their accuracy. If the source date is prior to the effective date of the appraisal, the appraiser assumes the property characteristics and supporting information have not changed in the interim.

The appraiser will not be required to give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand, or as otherwise required by law.

The appraiser has noted in this appraisal report any adverse conditions (such as needed repairs, deterioration, the presence of hazardous wastes, toxic substances, etc.) that the appraiser became aware of during the development of this appraisal. Unless otherwise stated in this appraisal report, the appraiser has no knowledge of any hidden or unapparent physical deficiencies or adverse conditions of the property (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that would make the property less valuable, and assumes that there are no such conditions and makes no guarantees or warranties, express or implied. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, this appraisal report must not be considered as an environmental assessment of the property.

Certifications

Appraiser Certifications

The Appraiser certifies and agrees that:

1. I have no present or prospective interest in the property that is the subject of this report, or relationship with the present or prospective owners or occupants of the subject property, or other parties involved in this transaction.

2. I performed this assignment without bias with respect to the parties involved in this transaction, the property that is the subject of this report, or the demographics of the area where the property is located.

3. I am aware of and have complied with all applicable laws and regulations including antidiscrimination laws, rules, and requirements that apply to the appraiser and to the assignment.

4. I did not base any part of my appraisal on the actual or perceived race, color, religion, sex (including sexual orientation or gender identity), age (other than as applicable for legally age-restricted communities), marital status, disability, familial status, or national origin of the present or prospective owners or occupants of either the subject property or properties in the area of the subject property or on any other basis prohibited by the Fair Housing Act or the Equal Credit Opportunity Act, or any other basis prohibited by law.

5. I stated in this appraisal report my own personal, unbiased, and professional analyses, opinions, and conclusions, which are subject only to the assumptions and limiting conditions in this appraisal report.

6. I have, at a minimum, developed and reported this appraisal in accordance with the scope of work requirements stated in this appraisal report.

7. I meet the credential requirements for this assignment as of the date of this appraisal report and have knowledge and experience in appraising this type of property in this market area.

8. I am aware of, and have access to, the necessary and appropriate public and private data sources, such as multiple listing services, tax assessment records, public land records, and other such data sources for the area in which the property is located.

9. I obtained the information, estimates, and opinions furnished by other parties and expressed in this appraisal report from reliable sources that I believe to be true and correct.

10. I personally performed an onsite inspection of the interior and exterior areas of the subject property. I reported the readily observable condition of the improvements in factual, specific terms. I identified and reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

11. I performed this appraisal in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was transmitted.

12. Using information available in the normal course of business, I researched, verified, analyzed, and reported on any current agreement for sale for the subject property, any offering for sale of the subject property in the twelve months prior to the effective date of this appraisal, and the prior sales of the subject property for a minimum of three years prior to the effective date of this appraisal.

13. Using information available in the normal course of business, I researched, verified, analyzed, and reported on the prior sales of the comparable sales for a minimum of one year prior to the date of sale of the comparable sale.

14. I based my valuation on the available properties that are most similar to the subject property.

15. I have not used comparable sales that were the result of combining a land sale with the contract purchase price of a home that has been built or will be built on the land.

16. I have identified the differences between the subject and comparable properties, analyzed the market reaction to those differences, and reflected those differences in the analysis.

Certifications *(continued)*

17. To the extent possible, I verified, from a disinterested source, all information in this report that was provided by parties who have a financial interest in the sale or financing of the subject property.

18. I have taken into consideration the factors that have an impact on value with respect to the subject property, and its location, including its proximity to adverse influences in the development of my opinion of market value. I have noted in this appraisal report any adverse conditions (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that I became aware of during the development of this appraisal. I have considered these adverse conditions in my analysis of the property value and have reported on the effect of the conditions on the value and marketability of the subject property.

19. I have not knowingly withheld any significant information from this appraisal report and, to the best of my knowledge, all statements and information in this appraisal report are true and correct.

20. My employment and/or compensation for performing this appraisal or any future or anticipated appraisals was not conditioned on any agreement or understanding, written or otherwise, that I would report (or present analyses supporting) a predetermined specific value, a predetermined minimum value, a range or direction in value, a value that favors the cause of any party, or the attainment of a specific result or occurrence of a specific subsequent event (such as approval of a pending mortgage loan application).

21. I personally prepared all conclusions and opinions about the real estate that were set forth in this appraisal report. No one provided significant real property appraisal assistance.

22. I have not authorized anyone to make a change to any item in this appraisal report; therefore, any change made to this appraisal is unauthorized and I will take no responsibility for it.

23. I identified the lender/client in this appraisal report who is the individual, organization, or agent for the organization that ordered and will receive this appraisal report.

24. I am aware that any disclosure or distribution of this appraisal report or any of its contents by me or by the lender/client may be subject to certain laws and regulations. Further, I am also subject to the provisions of the Uniform Standards of Professional Appraisal Practice that pertain to disclosure or distribution by me.

25. The lender/client may disclose or distribute this appraisal report to: the borrower; another lender at the request of the borrower; the mortgagee or its successors and assigns; mortgage insurers; government sponsored enterprises; other secondary market participants; data collection or reporting services; professional appraisal organizations; any department, agency, or instrumentality of the United States; and any state, the District of Columbia, or other jurisdictions. Any of the foregoing persons or entities who receive this appraisal report may choose to store, copy, reproduce, analyze, use and distribute the data in the appraisal report for internal or external purposes without having to obtain the appraiser's or supervisory appraiser's (if applicable) consent. Consent must be obtained before this appraisal report may be disclosed or distributed to any other party (including, but not limited to, the public through advertising, public relations, news, sales, or other media). A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.

26. The borrower, another lender at the request of the borrower, the mortgagee or its successors and assigns, mortgage insurers, government sponsored enterprises, and other secondary market participants may choose to rely on this appraisal report as part of any mortgage finance transaction that involves any one or more of these parties. A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.

27. If this report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this report containing a copy or representation of my signature, I agree that my electronic signature has the same force and effect as my manual handwritten signature, and that the report is enforceable and valid as a paper version of this report would be if delivered containing my manual handwritten signature.

28. Any intentional or negligent misrepresentation(s) contained in this appraisal report may result in civil liability and/or criminal penalties including, but not limited to, fine or imprisonment or both under the provisions of Title 18, United States Code, Section 1001, et seq., or similar state laws.

29. I have not performed any service regarding the subject property within the three years preceding the agreement to perform this assignment.

Signature

Appraiser

Annie Appraiser	08/28/2019
Annie Appraiser	Date of Signature and Report

Level	Certified General
ID	294210393
State	DC
Expires	02/28/2020